CHAPTER 11

Specific Standards for Bond Investment (*Concluded*)

RELATION OF STOCK CAPITALIZATION TO BONDED DEBT

The amount of stock and surplus following or junior to a bond issue expresses the same fact as the excess of resources over indebtedness. This can be seen at once from the following condensed typical balance sheet:

Assets, less current liabilities		Bonded debt	$ 600,000
(net assets)	$1,000,000	Stock and surplus (stock equity)	400,000
	$1,000,000		$11,000,000

The resultant simple formula is as follows:

$$\frac{\text{Stock equity}}{\text{Bonded debt}} = \frac{\text{Net assets}}{\text{Bonded debt}} - 1$$

Standards Prescribed by the New York Law. If we are studying balance-sheet figures, therefore, we can look either at the net assets or at the stock equity to determine the indicated coverage or margin above the principal amount of the debt. The New York statute governing investments of savings banks employs both approaches in its regulations respecting public-utility bonds. It stipulates: (1) that the mortgage debt in question, plus all underlying mortgage debt, shall not exceed 60% of the value of the mortgaged property; and (2) that the capital stock shall be equal to at least two-thirds of the mortgage debt. It will readily be observed from the typical balance sheet just given that these two requirements are broadly equivalent. Where a company has a substantial *unsecured* indebtedness, however, it might meet requirement 1 and not requirement 2, so that in such cases the second stipulation supplies an added protection. This point may be illustrated by the following example: